

AS Business 9609 - Exam Technique

A step-by-step guide built around the OFFICIAL mark grids, so you write exactly what each Assessment Objective (AO) rewards. For the Oct/Nov 2026 exam (syllabus 2026-2028). Each mark tariff shows: the exact AO split, the structure, WHERE the K and APP go, key words to write, an "ask yourself" checklist, and THREE tagged worked examples.

PART A - THE FOUNDATIONS

1. The four skills (Assessment Objectives)

Every mark comes from one of these four skills. Learn the tags - they are used on every worked example below.

- [K] AO1 Knowledge and understanding: define terms / state relevant points correctly.
- [App] AO2 Application: use the SPECIFIC business/context in the question (its name, product, market, numbers, situation).
- [An] AO3 Analysis: build cause-and-effect chains - connect causes, impacts and consequences of a point.
- [Ev] AO4 Evaluation: make and justify a balanced judgement IN CONTEXT. Only on 12-mark questions.

"Developed" vs "limited": examiners award the top mark in each column only when the skill is DEVELOPED (a full definition, application that clearly fits the case, a chain pushed to its final effect, a judgement that balances arguments in context). A vague or half-done attempt scores the lower "limited" mark.

2. The mark grids - what each question is worth (learn this)

The AS papers use fixed AO splits. This is the single most important table in this guide - it tells you precisely what to include:

- 2 marks 1(a) "What is meant by...": AO1 = 2. Knowledge ONLY.
- 3 marks 1(b) 2(b) 3(b): AO1 = 1, AO2 = 2. Knowledge + DEVELOPED application. NO analysis.
- 5 marks 1(c) 2(c) 3(c): AO1 = 1, AO2 = 2, AO3 = 2. ONE point: knowledge + application + developed analysis.
- 8 marks 5(a) 6(a): AO1 = 2, AO2 = 2, AO3 = 4. TWO points, each applied and analysed. NO evaluation.
- 12 marks 5(b) 6(b): AO1 = 2, AO2 = 2, AO3 = 2, AO4 = 6. Applied analytical points PLUS a developed, balanced judgement IN CONTEXT. Evaluation is HALF the marks.

Timing rule: about 1 to 1.5 minutes per mark.

3. Command words - what each one is really asking

- State / Identify / Give / What is meant by / Define - name or define it. Knowledge only.
- Explain (3 marks) - give one point and DEVELOP it into the business context. No chain of consequences needed.
- Analyse (5 and 8 marks) - build cause-and-effect chains. No judgement.
- Evaluate / Discuss / Assess / To what extent / Recommend (12 marks) - argue BOTH sides, then a justified judgement in context.

4. WHERE to put the K and the APP (the golden order)

For any developed answer (5, 8 or 12 marks) write each paragraph in this fixed order so you hit each AO in turn:

- STEP 1 - [K] first: state your point and DEFINE the key term. Opener: "One [benefit/reason] is X, which means [definition]."
- STEP 2 - [App] next: tie it to THIS business. Opener: "In the case of [business], which [detail from the case]..."
- STEP 3 - [An] next: develop the chain with "which means... because... leads to... therefore..." until you reach profit, cost, cash or competitiveness. (Skip this for a 3-mark answer.)
- STEP 4 - [Ev] last (12 marks only): judge - which side wins, why, and what it depends on, all in the business context.

Memory hook: DEFINE it (K) -> LOCATE it in the business (APP) -> DEVELOP it (AN) -> DECIDE (EV).

PART B - LAYOUT AND EXAMPLES BY MARK TARIFF

5. The 2-mark answer - "What is meant by..." (AO1 = 2)

Marks: AO1 only. 2 marks = knowledge of the term showing a SOUND understanding; 1 mark = only a PARTIAL understanding.

Structure

- Give a full, precise meaning. A two-part definition is the safest way to show "sound" (not partial) understanding.
- "[Term] is [part 1] [K] which [part 2] [K]."

Key words to write

- "is defined as...", "refers to...", "is the difference between...", "is when..."

Ask yourself

- Is my definition FULL (two parts), not a vague half-sentence (which scores only 1)?
- Have I used the exact syllabus term?
- Have I resisted wasting time on examples or consequences (no marks for them here)?

Worked examples

(a) "What is meant by opportunity cost?" [2]: Opportunity cost is the benefit of the next best alternative [K] that is given up when a choice is made [K].

(b) "What is meant by added value?" [2]: Added value is the difference between the selling price of a product [K] and the cost of the bought-in materials used to make it [K].

(c) "What is meant by market segmentation?" [2]: Market segmentation is dividing a market into groups of customers [K] who share similar characteristics or needs [K].

6. The 3-mark answer - Q1(b)/2(b)/3(b) (AO1 = 1, AO2 = 2)

Marks: 1 for knowledge of ONE relevant point, 2 for DEVELOPED application of that point to the business context. There is NO analysis mark - do not write a chain of consequences.

Structure

- "[Point/term] means [brief knowledge] [K]. For [business + specific case detail], this [how the point applies here] [App], [a second sentence of developed application tied to the case] [App]."

- To score 2 (developed) not 1 (limited) for AO2: use real detail from the case and show how the point fits THIS firm, not businesses in general.

Key words to write

- "In the case of [business]...", "because [business] [case detail]...", "for a firm that [case detail]...", "this fits [business] as..."

Ask yourself

- Have I stated one relevant point (the 1 knowledge mark)?
- Have I applied it to THIS business using specific case detail (2 marks)?
- Have I stopped at application - NOT drifted into a "leads to... therefore..." analysis chain (no marks for it here)?

Worked examples

(a) "ZR is a fast-fashion retailer. Explain one way ZR could add value." [3]: Adding value means raising the price paid above the cost of bought-in materials [K]. ZR could add value through its strong brand and rapid turnaround of on-trend designs [App], so its fashion-conscious shoppers will pay a premium for up-to-date styles they cannot get quickly elsewhere [App].

(b) "BK is a small bakery on a busy high street. Explain one benefit to BK of its location." [3]: A good location means a site with high customer footfall [K]. BK sits on a busy high street surrounded by offices [App], so many passing workers can buy its bread and lunch items each day [App].

(c) "TF manufactures toys and sells to large retailers. Explain one reason TF holds inventory." [3]: Inventory is the stock of materials and finished goods a business holds [K]. TF builds up finished toys before the December festive season [App], so it can supply the large orders its retail customers place at that peak time [App].

7. The 5-mark answer - Q1(c)/2(c)/3(c) (AO1 = 1, AO2 = 2, AO3 = 2)

Marks: 1 knowledge + 2 developed application + 2 developed analysis, all for ONE point. Analyse a single point in depth - do not list several.

Structure

- "One [benefit/reason/way] is [point], which means [define] [K]. For [business + case detail] this [apply] [App][App]. This means [effect 1] [An], which leads to [final effect on profit/cost/competitiveness] [An]."

Key words to write

- "One [reason] is...", "which means...", "In the case of [business]...", "this means that...", "which leads to...", "as a result..."

Ask yourself

- Have I DEFINED my one point (the knowledge mark)?
- Have I applied it to THIS business with case detail (2 marks)?
- Have I developed a chain to a FINAL business effect (2 analysis marks)?
- Have I avoided writing an evaluation (none is rewarded here)?

Worked examples (benefit / limitation / analyse)

(a) BENEFIT - "Analyse one benefit to a manufacturer of low labour turnover." [5]: One benefit is a more experienced workforce, as low turnover means few staff leave and need replacing [K]. For a manufacturer relying on skilled machine operators [App], experienced staff are retained rather than constantly retrained [App]. This means higher productivity and quality [An], which lowers unit costs and

recruitment spending, raising profit [An].

(b) LIMITATION - "Analyse one limitation to a start-up of relying on a business plan." [5]: One limitation is that a plan is built on forecasts that may be inaccurate [K]. For a new bakery estimating sales in an area where it has never traded [App][App], if real demand is far below forecast [An], the owner may overspend on stock and staff and run short of cash, threatening survival [An].

(c) ANALYSE - "Analyse one reason a supermarket holds buffer inventory." [5]: One reason is to avoid stock-outs, as buffer inventory is a safety level of stock [K]. For a supermarket selling fast-moving fresh food with uncertain daily demand [App][App], buffer stock keeps shelves full if demand spikes [An], so it does not lose sales and customers to nearby rivals [An].

Real past-paper [5] questions (Paper 1 style)

Paper 1 (Papers 12/13) has no case study, so these "Explain" questions are general. You still earn the 2 application marks by applying to a realistic business situation (e.g. "a new business", "a firm waiting for payment"), then push a short analysis chain for the 2 analysis marks.

(d) Cambridge June 2021 Paper 12: "Explain the importance of working capital to a new business." [5]: Working capital is the finance available for day-to-day running, found by current assets minus current liabilities [K]. For a new business with small cash reserves and uncertain early sales [App], having enough working capital lets it pay wages, suppliers and rent on time [App]. This means it avoids running out of cash [An], so it can keep trading and survive its risky first months rather than becoming insolvent [An].

(e) Cambridge June 2022 Paper 12: "Explain why a business manager needs to understand the difference between capital expenditure and revenue expenditure." [5]: Capital expenditure is spending on non-current assets such as machinery, while revenue expenditure is day-to-day spending such as wages and materials [K]. A manager who understands this [App] can fund long-term assets with long-term finance and day-to-day costs from cash flow [App]. This means budgeting and profit figures are accurate [An], so the manager avoids paying for a long-term asset out of short-term cash and causing a cash shortage [An].

(f) Cambridge November 2022 Paper 13: "Explain how a business might improve its cash flow." [5]: One way is to speed up cash inflows, for example by chasing trade receivables or offering early-payment discounts [K]. For a business kept waiting a long time by its customers [App], collecting cash sooner raises the cash available each month [App]. This means it can pay its own bills on time [An], reducing the need for a costly overdraft and lowering the risk of insolvency [An].

8. The 8-mark answer - Q5(a)/6(a) (AO1 = 2, AO2 = 2, AO3 = 4)

Marks: 2 knowledge + 2 application + 4 analysis. Write TWO developed, applied points, each pushed to a final effect. NO intro, NO conclusion, NO judgement. The big score here is ANALYSIS (4 marks), so develop each chain fully.

Structure (write this twice - one per point)

- "One [way/benefit/drawback] is [point] [K]. For [business + case detail] this [apply] [App]. As a result [effect 1] [An], which in turn [effect 2] [An], meaning [final effect on profit/cost/competitiveness] [An]."

Key words to write (analysis connectives)

- "this means...", "because...", "which leads to...", "as a result...", "this in turn...", "therefore...", "ultimately..."

Ask yourself

- Do I have TWO separate, different points (for the 2 knowledge marks)?
- Is each applied to THIS business (for the 2 application marks)?

- Have I DEVELOPED each chain to a final effect (this is where 4 of the 8 marks are)?
- Have I written NO judgement (none is rewarded at 8 marks)?

Worked example 1 - "Analyse two ways business enterprise can help the development of a country." [8]

Point 1 - Job creation: One way is by creating employment [K]. In a developing country where unemployment is high [App], new enterprises hire local people. As a result more households earn an income [An], so they spend more locally [An], raising demand for other firms and creating further jobs through a multiplier effect [An], gradually raising living standards [An].

Point 2 - Higher output and tax revenue: A second way is by raising output (GDP) and tax revenue [K]. In a developing economy [App], as enterprises produce and sell they generate profits and wages. As a result the government collects more tax [An], which it can invest in infrastructure, education and healthcare [An], improving productivity and driving further development [An].

Worked example 2 - "Analyse two benefits to a clothing retailer of market segmentation." [8]

Point 1 - Better-matched products: One benefit is that segmentation lets the firm target groups with similar needs [K]. For a fashion chain splitting its market by age and income [App], it designs ranges that fit each group [An], so customers are more satisfied and buy more [An], raising sales revenue [An].

Point 2 - Less wasted marketing spend: A second benefit is more efficient promotion [K]. For the retailer advertising a teen range on social media rather than TV [App], less money is spent reaching people who will not buy [An], so the cost per sale falls [An] and profit margins improve [An].

Worked example 3 - "Analyse two ways a business could improve its cash flow." [8]

Point 1 - Collect receivables faster: One way is to shorten the credit period given to customers [K]. For a wholesaler currently waiting 60 days for payment [App], cutting this to 30 days brings cash in sooner [An], so it can pay wages and suppliers on time [An], reducing the risk of insolvency [An].

Point 2 - Delay paying payables: A second way is to negotiate longer credit from suppliers [K]. For the same wholesaler [App], paying after 60 rather than 30 days keeps cash in the business longer [An], so it can fund day-to-day costs without a costly overdraft [An], lowering interest costs [An].

Reminder: an 8-mark "Analyse" question does NOT need a judgement.

9. The 12-mark answer - Q5(b)/6(b) (AO1 = 2, AO2 = 2, AO3 = 2, AO4 = 6)

Marks: 2 knowledge + 2 application + 2 analysis + 6 EVALUATION. Evaluation is HALF the marks, so it is where you win or lose the grade. You only need enough K/App/An to set up the arguments (about 6 marks); then spend the most time on a developed, balanced judgement IN CONTEXT (6 marks).

Structure

- (Optional) one line defining the key term [K].
- Argument 1 (FOR) - applied point with a short chain [K/App/An].
- Argument 2 (AGAINST / alternative) - applied point with a short chain [K/App/An].
- JUDGEMENT [Ev] (the 6 marks): a clear decision; WHY one side outweighs the other; an "it depends on..." named factor; a short-term vs long-term point; all tied to the SPECIFIC business.

Level ladder for AO4: limited judgement (1-2) -> developed judgement that balances arguments (3-4) -> developed judgement that balances arguments IN CONTEXT of the business (5-6). Naming the business in your judgement is what reaches the top level.

Key words to write (judgement starters)

- "Overall, the most important factor for [business] is X because..."

- "This depends largely on [named factor]: if [condition] then A, but if [condition] then B..."
- "In the short term [effect], but in the long term [effect], so on balance..."
- "Therefore [business] should X, provided that [condition]."

Ask yourself

- Have I argued BOTH sides, each applied to the business?
- Have I made a CLEAR decision (not "it could go either way")?
- Have I said WHY one side outweighs the other?
- Have I added an "it depends on..." factor and a short vs long term point?
- Is my judgement clearly IN CONTEXT (names the business + its situation)? This is the difference between 4 and 6 marks.
- Did I spend close to HALF my time on the judgement?

Worked example 1 - "Intrapreneurship is the most important factor for the success of a computer games business." Evaluate. [12]

Intro: Intrapreneurship means employees using entrepreneurial skills to innovate within an existing business [K].

FOR: Success in games depends on constant innovation [App]. Intrapreneurs create new ideas from within, so the firm keeps launching fresh titles [An] and stays ahead of rivals [An].

AGAINST: However, finance and marketing may matter more [K]. Even a great game needs large sums for long development [App]; without finance it may never launch [An], failing despite good ideas [An].

JUDGEMENT: Overall, for this games business intrapreneurship is a major but not sufficient factor [Ev]. Innovation only creates success if it is funded and marketed, so it must be combined with finance and branding [Ev]. It depends on the stage of the firm [Ev]: for a new studio securing finance is most critical in the short term, whereas for an established studio intrapreneurship is the key to staying competitive in the long term [Ev]. So the statement is only partly true for this business [Ev].

Worked example 2 - "A private limited company (JB) should become a public limited company (Plc)." Evaluate. [12]

FOR: Floating lets JB sell shares to the public and raise large capital [K]. For JB wanting to expand nationally [App], this funds new outlets [An] and enables economies of scale that lower unit costs [An].

AGAINST: However, selling public shares dilutes ownership [K]. For JB's founding family [App], this risks losing control and even a hostile takeover [An], plus pressure for short-term dividends [An].

JUDGEMENT: Whether JB should float depends mainly on how much finance it needs and how much control the family will give up [Ev]. If the planned expansion is large and cannot be funded by loans or retained profit, becoming a Plc is justified for JB [Ev]; but if the family values control and the sum needed is modest, a bank loan is the better route [Ev]. On balance, for a family firm like JB the loss of control usually outweighs the benefit unless the capital required is very large [Ev].

Worked example 3 - "For its new innovative product, TX should use penetration pricing rather than skimming." Evaluate. [12]

FOR penetration: A low launch price attracts price-sensitive buyers quickly [K]. For TX entering a crowded streaming market [App], this wins market share fast [An] and builds a large subscriber base [An].

AGAINST (skimming): A high initial price earns a large margin from customers who want it first [K]. If TX's product is genuinely unique with few rivals [App], skimming recovers high development costs quickly [An] and builds a premium image [An].

JUDGEMENT: The best method for TX depends on how much competition it faces and how unique its

product really is [Ev]. In the crowded streaming market described, where rivals are many and services are easy to copy, penetration is the stronger choice to grab share fast [Ev]; skimming would only suit TX if the product were truly unique [Ev]. So for TX in this context, penetration pricing is justified in the short term, though it must plan to raise prices later to protect margins [Ev].

PART C - QUICK REFERENCE

10. AO split at a glance

2 marks: AO1 2. (Define.)

3 marks: AO1 1 + AO2 2. (Knowledge + developed application. No analysis.)

5 marks: AO1 1 + AO2 2 + AO3 2. (One point, applied and analysed.)

8 marks: AO1 2 + AO2 2 + AO3 4. (Two points, applied and analysed. No evaluation.)

12 marks: AO1 2 + AO2 2 + AO3 2 + AO4 6. (Two applied points + balanced judgement in context. Evaluation = half.)

11. Analysis connective bank (build your chains)

- this means... / because... / which leads to... / as a result...
- this in turn... / consequently... / therefore... / ultimately...
- End every chain on profit, cost, cash flow or competitiveness.

12. Evaluation / judgement bank (12-mark answers)

- "The most important factor for [business] is... because..."
- "This depends on... (size of the firm, its objectives, the economy, the level of competition)."
- "In the short term... whereas in the long term..."
- "On balance, [business] should... provided that..."

13. The three biggest mark-losers to avoid

- Not applying to the business in the question - you lose ALL AO2 marks (and the top AO4 level).
- On 3-mark questions, writing a long analysis chain - it earns nothing; develop the APPLICATION instead.
- On 12-mark questions, a weak or missing judgement - AO4 is 6 of the 12 marks, so you cannot pass without a developed judgement in context.

Golden rule: DEFINE it (K) -> LOCATE it in the business (APP) -> DEVELOP it (AN) -> DECIDE (EV).
Match what you write to the AO split for that tariff, apply every point to the business, and put your judgement in context.